Daewoo E&C (047040 KS)

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Improving profitability and growing orders

Initiate coverage at BUY and target price of W24,000

We initiate coverage on Daewoo E&C at BUY and target price of W24,000. Our target price was derived by applying a target P/B of 2.24x to 12-month-forward BPS of W10,513. The target P/B corresponds to the top 20% of the company's 12-month-forward P/B range during the 2005-2009 cycle, which included both an expansion in overseas plant orders and a subsequent correction. It reflects the recovery in housing and building construction profitability and growth in orders, using the upper end of the full cycle rather than a single peak.

Strong housing and building construction profitability

The housing and building construction division recorded gross margin of 21.2% in 1H26, nearly double its full-year 2025 margin of 11.6%. Excluding one-off factors, we estimate the recurring gross margin at 15.6%, above the company's initial guidance of 14%. We believe this points to a higher underlying margin level.

Order guidance raised by 50%, with Vietnam revenue set to rise in 2027

On August 4, the company raised its full-year new order target from W18tn set at the beginning of the year to W27tn. This upward revision is driven by five major projects expected in 2H26 (Dukovany nuclear power plant in the Czech Republic, Papua New Guinea LNG, Indorama fertilizer plant in Nigeria, Mozambique LNG, and Gadeokdo New Airport in Korea). Since the W9tn revision reflects only about half of the five pipelines, we believe the guidance is conservative and the company may be able to outperform the order guidance. Moreover, deliveries of residential housing units in Vietnam are slated to commence in 2027, driving full-scale sales recognition. We expect the company to far exceed the W100bn sales estimated for 2026.

Bright future ahead as lead EPC contractor for Team Korea nuclear projects

If the Korean government secure management control or strategic influence through potential equity investments in Westinghouse, the company stands to benefit as the lead EPC contractor for Team Korea, receiving orders for the Czech Dukovany nuclear power plant expected within this year, as wells as for Team Korea's APR1400 reactors in North America (including the US) and broader Europe beyond the Czech Republic. This will likely serve as a catalyst for valuation rerating.

BUY (I)

Target price	W24,000 (I)
Previous target price	-
Current price (Sep 18)	W18,910
Upside potential	27%

Market cap (Wbn)	7,770
Shares outstanding	410,885,720
Avg daily T/O (2M, Wbn)	116
Avg daily volume (2M, shrs)	6,558,697
52-week high/low (won)	37,150 / 3,360
Foreign ownership (%)	10.74%
Dividend yield (%)	0.00%
Major shareholders	Jungheung Civil Engineering and Building & others

Stock performance

(%)	1M	3M	12M
Absolute	10.1	(17.6)	407.7
Relative	9.7	8.3	154.9
Abs (US$)	12.4	(9.0)	409.3

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	2,032	2.1	-0.6	1,998	1.7
OP	187	230.4	-19.5	164	14.1
Pre-tax net profit	113	TTB	-46.7	132	-14.8
Net profit, CI	89	TTB	-46.4	102	-12.6
OPM (%)	9.2	+6.4 %pt	-2.2 %pt	8.2	+1.0 %pt
NPM (%)	4.4	TTB	-3.7 %pt	5.1	-0.7 %pt

Note: CI = controlling interest, TTB = turn to black

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	10,504	8,055	7,971	8,787
OP	403	-815	865	818
Net profit, CI	234	-912	559	475
P/E (x)	6.8	-1.7	13.9	16.4
P/B (x)	0.4	0.4	2.0	1.7
EV/EBITDA (x)	6.9	-4.7	9.5	9.8
ROE (%)	5.6	-23.9	15.3	11.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

I. Target price and valuation

Order growth adds to profitability recovery

We initiate coverage on Daewoo E&C at BUY and target price of W24,000. Our target price, derived by applying a target P/B of 2.24x to 12-month-forward BPS of W10,513, yields 27% upside from the current share price of W18,910.

The target P/B corresponds to the top 20% of the company's 12-month-forward P/B range during the 2005-2009 cycle, which included both an expansion in overseas plant orders and a subsequent correction. The average multiple during that period was 1.68x and the peak was 3.31x. With housing and building construction profitability normalizing and full-year new-order guidance raised from W18tn to W27tn, we believe a valuation above the cycle average is warranted. However, as major nuclear and LNG projects have yet to be converted into signed contracts, we do not apply the single peak or the top 10%.

In August, Daewoo E&C raised its full-year new-order guidance by 50%, from W18tn to W27tn. Major potential orders include the Czech Dukovany nuclear power project, Papua New Guinea LNG, the Indorama fertilizer plant in Nigeria, Mozambique LNG, and Gadeokdo New Airport. The company has included only part of this pipeline in its guidance, leaving room for orders to exceed the company's new order guidance as projects convert into signed contracts.

Daewoo E&C: target price calculation

	Value	Note
(A) Target P/B	**2.2x**	Top 20% of 12-month-forward P/B during the 2005-2009 cycle, which included overseas plant order growth and a correction
(B) Target BPS (B)	**W10,513**	12-month-forward BPS
Target price (C = A x B)	**W24,000**	Rounded to the nearest W1,000
Current price	W18,910	Closing price on Sep 18, 2026
Upside	**27%**	

Source: Yuanta Securities

II. Earnings estimates

Profitability to recover in 2026; revenue growth to follow in 2027

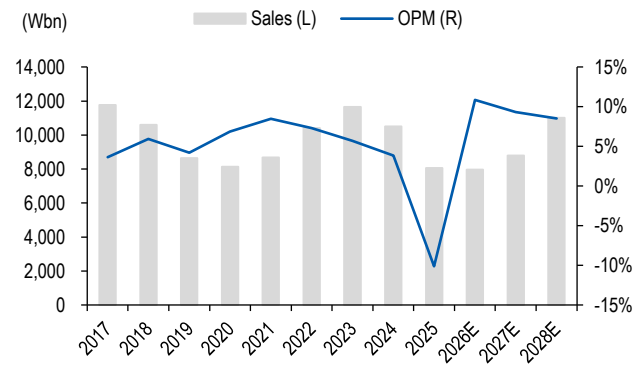
For 2026, we estimate consolidated revenue at W8.0tn (-1.0% YoY) and OP at W865.1bn (turning profitable YoY). For 2027, we forecast revenue at W8.8tn (+10.2% YoY) and OP at W818.1bn. The main earnings driver in 2026 is margin normalization. Revenue recovery should gain momentum in 2027 as construction begins at new project sites and revenue is recognized from housing delivery in Vietnam.

Housing and building construction margins have improved

The housing and building construction business is at the center of earnings recovery. The division's gross margin rose to 21.2% in 1H26 from 11.6% for full-year 2025. Excluding one-off factors, we estimate its recurring gross margin at 15.6%, above the company's initial guidance of 14%. We believe the underlying level of housing profitability is rising as the impact of older, high-cost projects diminishes and cost-to-sales ratios at new projects stabilize.

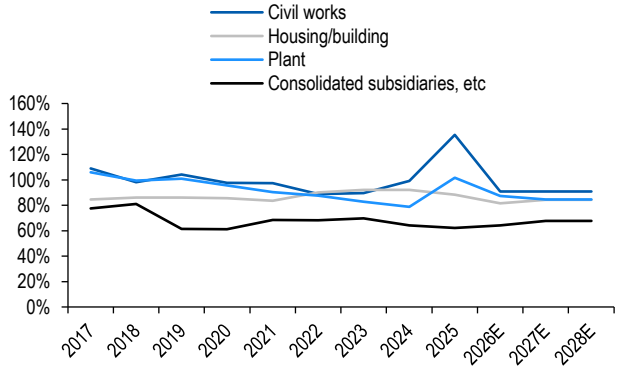
We expect housing and building construction revenue to decline 4.8% YoY to W5.2tn in 2026, then increase 16.0% YoY to W6.1tn in 2027. 2026 will be the year of margin recovery, with revenue growth likely to be added in 2027.

Daewoo E&C: sales and OPM



Source: company data, Yuanta Securities

Daewoo E&C: cost-to-sales ratio by business



Source: company data, Yuanta Securities

Daewoo E&C: earnings trend and forecast											(Wbn)
	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**2,076.7**	**2,273.3**	**1,990.6**	**1,714.0**	**1,951.4**	**2,043.5**	**2,031.7**	**1,944.0**	**8,054.6**	**7,970.6**	**8,787.4**
% YoY	-16.5%	-19.4%	-21.9%	-35.2%	-6.0%	-10.1%	2.1%	13.4%	-23.3%	-1.0%	10.2%
Civil engineering	415.0	427.3	408.9	152.9	350.6	392.7	446.1	384.9	1,404.1	1,574.3	1,566.7
Housing/building	1,381.6	1,475.7	1,322.0	1,329.1	1,273.2	1,392.4	1,304.9	1,271.8	5,508.4	5,242.3	6,080.3
Plant	227.0	258.6	219.5	136.0	284.0	227.5	180.3	158.2	841.1	850.0	836.4
Consolidated subsidiaries, etc	53.1	111.7	40.2	96.0	43.6	30.9	100.4	129.1	301.0	304.0	304.0
Gross profit	**250.7**	**248.2**	**173.1**	**(433.6)**	**363.5**	**350.2**	**306.8**	**306.6**	**238.4**	**1,327.1**	**1,317.6**
% YoY	16.7%	-9.9%	2.3%	TTR	45.0%	41.1%	77.2%	TTB	-74.3%	456.7%	-0.7%
Civil engineering	36.2	(12.6)	(23.0)	(498.7)	31.0	37.7	40.2	34.6	(498.1)	143.5	141.0
Housing/building	149.5	176.3	152.2	159.2	264.6	301.0	203.6	198.4	637.2	967.6	948.5
Plant	51.4	48.4	34.7	(148.6)	47.0	7.7	28.0	24.5	(14.1)	107.2	129.6
Consolidated subsidiaries, etc	13.6	36.1	9.2	54.5	20.9	3.8	35.1	49.1	113.4	108.9	98.4
OP	**151.3**	**82.2**	**56.6**	**(1,105.5)**	**255.6**	**232.2**	**186.9**	**190.4**	**(815.4)**	**865.1**	**818.1**
% YoY	31.8%	-21.5%	-9.2%	TTR	68.9%	182.6%	230.4%	TTB	TTR	TTB	-5.4%
Pretax profit	**95.7**	**(51.2)**	**(55.6)**	**(1,197.8)**	**267.3**	**211.6**	**112.8**	**149.0**	**(1,208.8)**	**740.6**	**624.0**
% YoY	-29.8%	TTR	TTR	TTR	179.2%	TTB	TTB	TTB	TTR	TTB	-15.7%
Net profit, CI	**55.9**	**(43.3)**	**(53.4)**	**(871.6)**	**194.3**	**166.2**	**89.0**	**109.3**	**(912.3)**	**558.9**	**475.0**
% YoY	-36.7%	TTR	TTR	TTR	247.3%	TTB	TTB	TTB	TTR	TTB	-15.0%
Profitability											
Gross margin	**12.1%**	**10.9%**	**8.7%**	**-25.3%**	**18.6%**	**17.1%**	**15.1%**	**15.8%**	**3.0%**	**16.6%**	**15.0%**
Civil engineering	8.7%	-2.9%	-5.6%	-326.2%	8.8%	9.6%	9.0%	9.0%	-35.5%	9.1%	9.0%
Housing/building	10.8%	11.9%	11.5%	12.0%	20.8%	21.6%	15.6%	15.6%	11.6%	18.5%	15.6%
Plant	22.6%	18.7%	15.8%	-109.3%	16.5%	3.4%	15.5%	15.5%	-1.7%	12.6%	15.5%
Consolidated subsidiaries, etc	25.6%	32.3%	22.9%	56.8%	47.9%	12.3%	35.0%	38.0%	37.7%	35.8%	32.4%
OPM	**7.3%**	**3.6%**	**2.8%**	**-64.5%**	**13.1%**	**11.4%**	**9.2%**	**9.8%**	**-10.1%**	**10.9%**	**9.3%**
Pretax margin	**4.6%**	**-2.3%**	**-2.8%**	**-69.9%**	**13.7%**	**10.4%**	**5.6%**	**7.7%**	**-15.0%**	**9.3%**	**7.1%**
Net margin, CI	**2.7%**	**-1.9%**	**-2.7%**	**-50.9%**	**10.0%**	**8.1%**	**4.4%**	**5.6%**	**-11.3%**	**7.0%**	**5.4%**

Note: TTR = turn to red, TTB = turn to black; source: company data, Yuanta Securities

III. Investment points

1. Housing: profitability normalize on high-cost site exits

The first investment point for Daewoo E&C is the structural improvement in housing margins. In the construction sector, housing earnings is dictated more by the cost structures of legacy contracts than by new pre-sales. As high-cost sites that broke ground during the 2021-2022 raw material and labor costs surge reach completion, the burden on overall cost-to-sales ratio is easing rapidly.

Although some one-off factors were included in 1H26 housing/building gross margin of 21.2%, recurring gross margin is estimated at 15.6% when excluding these factors. We believe this is not simply a single-quarter surprise, but a clear indicator that shows stronger profit fundamentals of the housing business.

The key indicator to monitor going forward will likely be cost-to-sales ratio. If high margins are sustained despite softer housing revenue, 2026 earnings floor will likely remain solid. In 2027, as the portion for new project starts expands, housing sales growth and high profitability are highly likely to become visible at the same time.

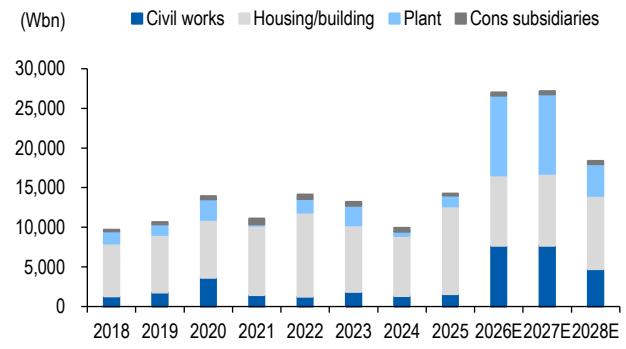
2. Orders: conversion of plant contracts including overseas LNG is crucial

The company raised its full-year new order target from W18tn to W27tn. The key is whether overseas projects successfully convert into actual contracts.

Key 2H26 pipeline opportunities include the Dukovany nuclear power plant in the Czech Republic, Papua New Guinea LNG, Indorama fertilizer plant in Nigeria, Mozambique LNG, and Gadeokdo New Airport in Korea. In particular, plant projects like LNG have relatively shorter order-to-revenue conversion timelines than nuclear power plants, which should raise earnings visibility from 2027 onward.

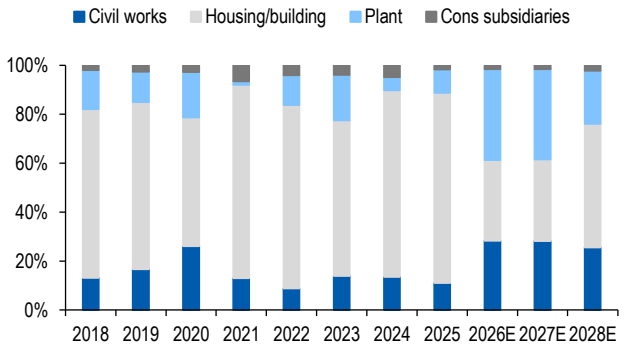
Given that expectations for overseas orders are partially reflected in current shares, the process of order intakes, groundbreaking, and sales seems more important than the size of pipeline. Achieving or outperforming the W27tn guidance will likely become the key variable for upward revisions to post-2027 earnings estimates.

Daewoo E&C: new orders by business



Source: company data, Yuanta Securities

Daewoo E&C: new order share by business



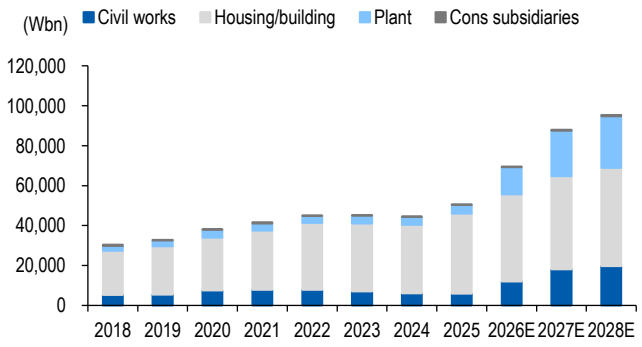
Source: company data, Yuanta Securities

3. Nuclear power plant: order expansion expected as lead contractor for Team Korea

Nuclear power business will likely offer the biggest upside over the mid- to long-term. The company is the lead construction contractor for Team Korea's nuclear power projects, and secured construction rights for the Dukovany nuclear power plant in the Czech Republic. If Team Korea's global nuclear orders expand going forward, the company's nuclear EPC track record and status as the lead contractor will likely serve as a differentiating factor.

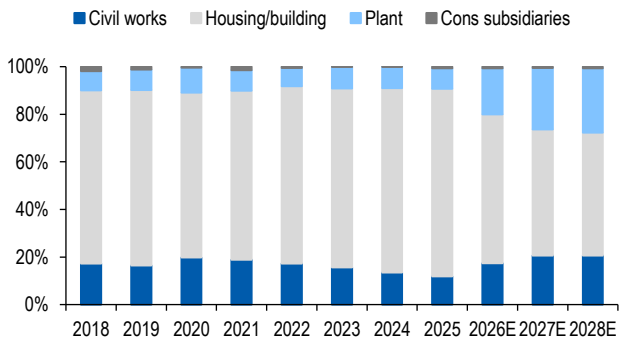
Given the substantial contract size of nuclear power projects, the timeline for earnings recognition is similarly long. As such, the nuclear power business should be approached not as a driver of short-term earnings but as a business that raises long-term growth potential through the expansion of new order wins and order backlog. Structurally, housing business determines short-term earnings, plants including LNG dictates mid-term growth, and nuclear power determines long-term valuation multiples.

Daewoo E&C: order backlog by business



Source: company data, Yuanta Securities

Daewoo E&C: order backlog share by business



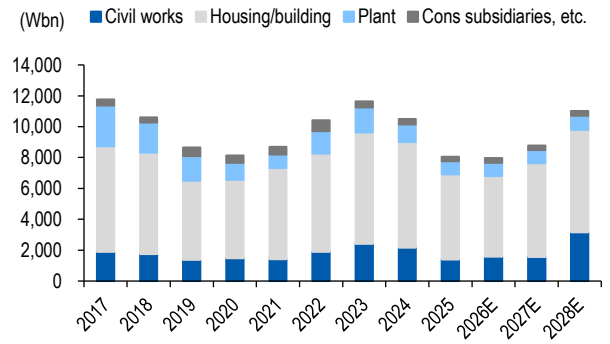
Source: company data, Yuanta Securities

4. Vietnam, sales recognition to scale up from 2027

Another pivotal mid-term growth driver is the company's residential development projects in Vietnam. While 2026 revenue is estimated at around W100bn, sales recognition will likely scale up in 2027 as housing deliveries will begin.

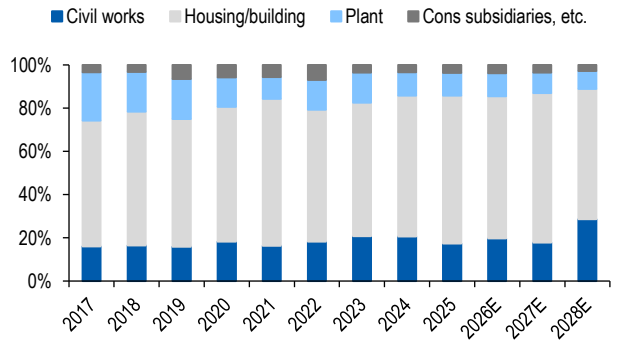
While domestic housing business is focused on profitability normalization, Vietnam operations is meaningful as it can contribute to new top-line growth. We expect 2027 to mark a turning point where the company shifts from profitability recovery to top-line growth on domestic housing recovery and addition of revenue from overseas plants and Vietnam.

Daewoo E&C: sales breakdown by business



Source: company data, Yuanta Securities

Daewoo E&C: sales share by business



Source: company data, Yuanta Securities

Daewoo E&C (047040 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**10,504**	**8,055**	**7,971**	**8,787**	**11,014**
Cost of sales	9,576	7,816	6,644	7,470	9,454
Gross profit	928	238	1,327	1,318	1,560
SG&A	524	1,054	462	499	621
Operating profit	**403**	**-815**	**865**	**818**	**939**
EBITDA	526	-701	975	921	1,025
Non-operating profit	-45	-393	-125	-194	-193
Forex gains	134	-84	-20	0	0
Net interest income	-57	-59	-121	-125	-124
Equity-method gains	0	-46	-12	0	0
Other	-122	-205	29	-69	-69
Net prof before income tax	358	-1,209	741	624	746
Income tax	116	-293	173	139	174
Net profit from continuing ops	243	-916	567	485	572
Net profit from discontinued ops	0	0	0	0	0
Net profit	243	-916	567	485	572
NP for controlling interest	**234**	**-912**	**559**	**475**	**563**
Total comprehensive income	239	-948	654	485	572
Total comprehensive income, CI	233	-943	640	477	562

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**9,589**	**9,923**	**11,711**	**12,627**	**14,726**
Cash & cash equivalents	1,162	1,829	2,531	2,794	2,482
Accounts receivables & other	4,683	4,276	4,850	5,195	6,431
Inventory	1,945	2,428	2,753	2,949	3,696
Non-current assets	3,070	3,436	3,573	3,616	3,896
Tangible assets	380	452	492	471	486
Investment in affiliates	124	172	195	209	262
Other investment assets	885	1,017	1,123	1,180	1,401
Total assets	**12,658**	**13,359**	**15,284**	**16,243**	**18,622**
Current liabilities	4,544	5,111	6,249	6,584	7,864
Accounts payable & other	2,664	3,095	3,510	3,760	4,712
ST financial liabilities	659	366	400	400	400
Liquid LT liabilities	542	586	1,132	1,132	1,132
Non-current liabilities	3,780	4,773	4,911	5,050	5,577
LT financial liabilities	2,164	2,126	2,705	2,705	2,705
Debentures	306	653	0	0	0
Total liabilities	**8,324**	**9,884**	**11,160**	**11,634**	**13,441**
Equity, controlling interest	4,291	3,348	3,980	4,455	5,018
Paid-in capital	2,078	2,078	2,078	2,078	2,078
Capital surplus	562	562	562	562	562
Retained earnings	2,183	1,277	1,739	2,214	2,777
Equity, non-controlling interest	43	127	144	154	163
Total equity	**4,334**	**3,475**	**4,124**	**4,609**	**5,181**
Net debt	**2,021**	**1,662**	**1,378**	**1,073**	**1,224**
Total debt	4,101	4,145	4,651	4,662	4,703

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**-1,284**	**463**	**1,430**	**3,103**	**2,076**
Net profit	243	-916	567	485	572
Depreciation & amortization	114	106	101	96	80
Forex gains	-128	43	28	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-1,873	591	296	1,990	893
Other	360	639	438	532	531
Investing cash flow	**104**	**172**	**-254**	**-199**	**-568**
Investment	173	-116	-136	-72	-273
Increase in tangible assets	-38	-100	-78	-75	-94
Decrease in tangible assets	2	11	3	0	0
Other	-33	377	-42	-53	-201
Financing cash flow	**1,170**	**57**	**268**	**11**	**41**
ST financial liabilities	71	-290	51	11	41
Debenture/LT financial liabilities	1,249	334	455	0	0
Equity	13	0	0	0	0
Cash dividend	0	-3	0	0	0
Other cash flow	-162	16	-238	0	0
Consolidation adj and other	190	-25	-742	-2,652	-1,860
Increase in cash & equivalents	**180**	**667**	**702**	**263**	**-312**
Beginning cash & equivalents	982	1,162	1,829	2,531	2,794
Ending cash & equivalents	1,162	1,829	2,531	2,794	2,482
NOPLAT	403	-815	**865**	**818**	**939**
FCF	**-1,321**	**363**	**1,352**	**3,028**	**1,982**

Valuation

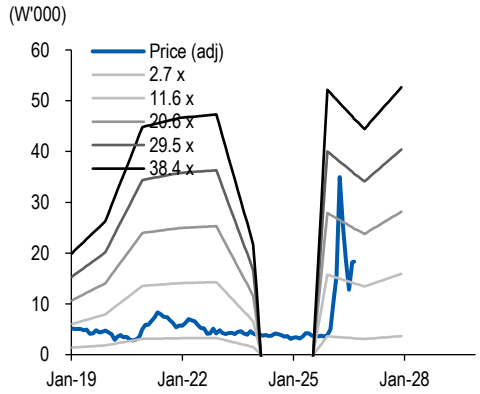
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	563	-2,195	1,357	1,156	1,370
BPS (won)	10,444	8,148	9,686	10,842	12,212
EBITDA/shr (won)	1,265	-1,686	2,366	2,242	2,494
SPS (won)	25,272	19,380	19,351	21,385	26,804
DPS (won)	0	0	0	0	0
P/E (x)	**6.8**	**-1.7**	**13.9**	**16.4**	**13.8**
P/B (x)	**0.4**	**0.4**	**2.0**	**1.7**	**1.5**
EV/EBITDA (x)	**6.9**	**-4.7**	**9.5**	**9.8**	**8.9**
P/S (x)	**0.2**	**0.2**	**1.0**	**0.9**	**0.7**

Key financial data

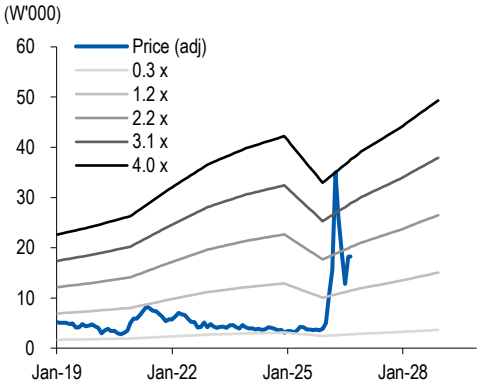
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-9.8**	**-23.3**	**-1.0**	**10.2**	**25.3**
Operating profit (%YoY)	**-39.2**	**TTR**	**TTB**	**-5.4**	**14.7**
Net profit, CI (%YoY)	**-54.3**	**TTR**	**TTB**	**-15.0**	**18.6**
Gross margin (%)	8.8	3.0	16.6	15.0	14.2
Operating margin (%)	**3.8**	**-10.1**	**10.9**	**9.3**	**8.5**
Net margin, CI (%)	2.2	-11.3	7.0	5.4	5.1
EBITDA margin (%)	5.0	-8.7	12.2	10.5	9.3
ROIC (%)	6.9	-14.3	18.4	14.2	14.8
ROA (%)	2.0	-7.0	3.9	3.0	3.2
ROE (%)	**5.6**	**-23.9**	**15.3**	**11.3**	**11.9**
Debt-to-equity (%)	192.1	284.5	270.6	252.4	259.4
Net debt-to-equity (%)	47.1	49.6	34.6	24.1	24.4
OP/financing cost (x)	2.5	-4.5	4.2	3.9	4.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

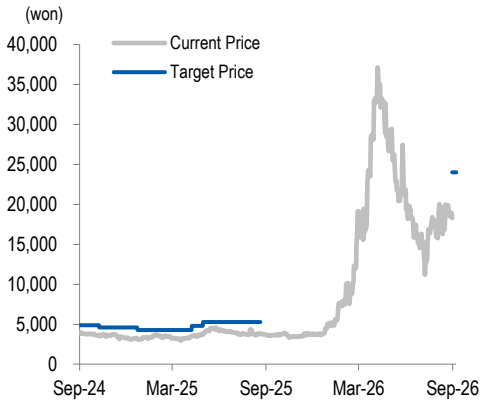
P/E band chart



P/B band chart



Daewoo E&C (047040 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/22	BUY	24,000	1 yr		
2026/09/21	BUY	24,000	1 yr		
2026/08/04	Not Rated Analyst changed	-	1 yr		
2025/05/22	BUY	5,300	1 yr	-23.77	-13.02
2025/04/30	BUY	4,800	1 yr	-24.26	-21.04
2025/01/14	BUY	4,300	1 yr	-22.33	-13.37
2024/10/31	BUY	4,600	1 yr	-24.85	-18.59
2024/07/31	BUY	4,900	1 yr	-20.67	-13.06

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.8
HOLD	3.2
SELL	0
Total	100.0

Note: As of Sep 22, 2026

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Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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